AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

MAY 2016

Business Studies Paper II

Time: 2 hours 25 minutes Marks: 50

AKU-EB / EXAMINATIONS 2016

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are THIRTEEN questions. Answer ALL questions. Questions 12 & 13 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 3 Marks)

Mr Ahmed is a businessman involved in buying and selling of toys. He wants to expand his business.

Mention THREE objectives Mr Ahmed might have for the business expansion.

Q.2. (Total 3 Marks)

Mr Ameen and Ms Ammara are competitors in boutique business. Due to the tough market conditions and same nature of business, they have integrated their businesses.

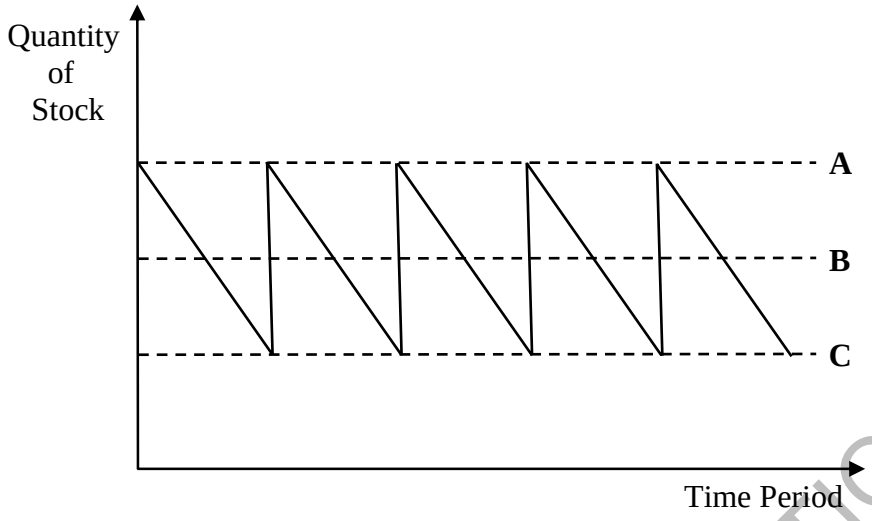
a. Identify the type of integration mentioned above. (1 Mark)

b. Explain the type of integration identified above. (2 Marks)

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Q.3. (Total 3 Marks)

The given graph shows the different concepts of stock control.



Name the regions marked (**A**, **B** and **C**) as either reorder quantity, maximum order quantity and minimum order quantity.

A. _____

B. _____

C. _____

Q.4. (Total 3 Marks)

a. What is the main aim of lean production techniques? (1 Mark)

_____

_____

b. Examine TWO reasons why a business might NOT adopt lean production techniques. (2 Marks)

1. _____

_____

2. _____

_____

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Q.5. (Total 5 Marks)

a. Explain the term 'Job Rotation'. (2 Marks)

b. Types of decisions in an organisation vary with designations and persons involved in it. Explain THREE different types of decisions taken in any business organisation. (3 Marks)

Q.6. (Total 4 Marks)

a. Explain the difference between 'dismissal' and 'redundancy'. (2 Marks)

b. Discuss TWO possible benefits that a worker may enjoy after joining a trade union. (2 Marks)

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Q.7. (Total 5 Marks)

a. In recent years, businesses prefer to have wider span of control and short chain of command. This is called delayering.

Discuss TWO advantages of having shorter chain of command. (2 Marks)

b. Organisational chart is a chart that shows the clear structure of an organisation.

Write THREE advantages of having an organisational chart. (3 Marks)

Q.8. (Total 4 Marks)

Finance and capital is the life blood of any business organisation.

Different sources of finance are shown in the table below. Complete the table by identifying the suitable type of business (i.e. sole proprietor, partnership, company and non-profit organisation) that will require these finances.

(Note: The first one has been done for your assistance.)

Sources of Finance	Types of Business
Money collected by share issue	**Company**
Loan from friend	
Capital invested by Samia and Sania	
Subscription money from members	
Received money by issuance of bonds	

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Q.9. (Total 4 Marks)

a. Differentiate between cash inflow and cash outflow. (2 Marks)

Cash Inflow	Cash Outflow

b. Differentiate between profit and cash flow. (2 Marks)

Profit	Cash Flow

Q.10. (Total 3 Marks)

Complete the given table by describing the importance of SWOT analysis.

	Importance
SWOT (Strengths, Weaknesses, Opportunities and Threats)	1.
	2.
	3.

Q.11. (Total 3 Marks)

State any THREE reasons for increasing global competition?

_____

_____

_____

_____

_____

_____

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Q.12. (Total 5 Marks)

EITHER

a. In a country like Zimbabwe, inflation has increased significantly in the last few years. The government has asked its finance advisor to suggest various monetary policy measures.

i. Define monetary policy.

ii. As an advisor to the government, explain TWO monetary measures that can be taken to reduce inflation.

OR

b. Ms Rabia has been appointed in a multi-national company as Manager Finance. As a manager, she needs to perform various responsibilities.

Describe FIVE responsibilities Ms Rabia needs to perform as Manager Finance.

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Q.13. (Total 5 Marks)

EITHER

a. Al-Hamra Limited is a Multinational company. It is planning to decentralise its business with respect to product, region, functions and project.

i. Define decentralisation.

ii. Explain the different forms of decentralisation.

OR

b. Mr Rizwan has provided the details of cash flow of his business for the month of April 2016.

Description	Amount (Rs)
Opening cash balance	12,500
Cash inflows	40,000
Cash outflows	45,000
Closing cash balance	7,500

Mr Rizwan is planning to give discounts to the credit customers in May 2016. It is expected that his cash inflows will increase by 10%. He plans to cut down his cash outflows by decreasing the expenses by Rs 5,000.

Compute the amount of cash flow at the end of May 2016.

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END OF PAPER